Scoring California's proposed Billionaire Tax Act: a transparent comparison of static, migration, and valuation assumptions

Max Ghenis

2026-04-24

California's proposed Billionaire Tax Act would impose a one-time 5 percent tax on net worth above $1 billion for California residents as of January 1, 2026. Public estimates of its fiscal effect differ sharply. A Berkeley team reports a roughly $100 billion static score, while Rauh et al. estimate a much smaller revenue range and a negative mean net present value once future California income tax losses are included. This paper documents the assumptions behind a new PolicyEngine calculator designed to make those disagreements explicit. The paper argues that the public analysis should be staged in two parts. The first defines the taxable wealth base and computes one-time wealth tax receipts. The second optionally adds future California income tax losses, which requires separate assumptions about which departures are legally effective and which are causally attributable to the tax itself. Using the stored March 30, 2026 Forbes snapshot as an illustration, a corrected static baseline yields a gross one-time wealth tax score of about $70.6 billion. If one also attributes the future California income tax losses of already-observed movers to the policy, that illustrative net fiscal effect is about $53.8 billion. The paper's main claim is narrow. The most useful public contribution is not another opaque point estimate, but a transparent framework that shows how each modeling choice changes the score.

Introduction

California's proposed Billionaire Tax Act has produced one of the widest gaps in recent state tax scoring. Galle et al. (2025) report a roughly $100 billion static score using Forbes data and a 10 percent haircut for avoidance or evasion. Rauh et al. build a person-level base, adjust the residency roster, model departures, and estimate that the policy may have negative net present value once foregone California income tax is counted (Rauh et al. 2026). The Legislative Analyst's Office describes the effect only as being in the "tens of billions of dollars" (California Office of the Attorney General and Legislative Analyst's Office 2026).

This paper documents a public calculator built at PolicyEngine to make those disagreements transparent (PolicyEngine 2026). The calculator is not a full replication of any one paper. It is a common framework that lets users change the assumptions that matter most: the billionaire base, contested residency classifications, directly held real estate, observed and modeled departures, California income tax exposure, payment timing, growth, and discounting.

The paper's argument is narrow. The main disagreement is not about arithmetic inside a shared model. It is about a short list of modeling choices. A useful public model should therefore expose those choices directly rather than hide them behind a single headline number.

The measure and existing estimates

The initiative ties residency to January 1, 2026 and valuation to December 31, 2026 (California Department of Justice 2026). It phases the tax in from 0 percent at $1.0 billion to 5 percent at $1.1 billion, excludes directly held real property from net worth, and allows either payment with the 2026 return or payment in five annual installments with a 7.5 percent nondeductible deferral charge on the unpaid balance.

The Berkeley estimate takes the broadest and simplest approach. It uses 204 California billionaires from the October 17, 2025 Forbes list, reports $2.19 trillion of wealth, multiplies by 5 percent, and applies a 10 percent haircut to reach a roughly $100 billion figure in Galle et al. (2025). That is a static revenue score. It does not separately model departures or future California income tax losses.

Rauh et al. construct a narrower and more behaviorally responsive base (Rauh et al. 2026). Their paper adjusts the Forbes residency roster, adds an omitted California billionaire, estimates directly held real estate, and treats announced departures as evidence of migration response. They report a $94.2 billion no-behavior baseline, a $67.5 billion score after six announced departures, and a preferred revenue range of roughly $35 billion to $46 billion once additional migration response is included. The paper's Monte Carlo exercise yields a mean net present value of -$24.7 billion.

Galle et al. (2026) later published an explainer arguing that most publicly discussed billionaire moves should not be treated as legally effective changes in California domicile. They contend that California residency is determined by a totality-of-ties analysis weighing family, business, political, and social connections, that self-reported relocations receive little weight in that analysis, and that the one-time nature of the tax sharply limits the incentive to move. That position relies on California's fact-intensive residency doctrine and on legal and economic scholarship that treats tax-induced physical migration as limited relative to paper income shifting (Office of Tax Appeals, State of California 2021; Galle, Gamage, and Shanske 2025).

A separate concern is valuation. Forbes wealth is a public estimate, not a tax filing. If reported values to the California Franchise Tax Board come in below public Forbes values, or if market prices move materially before the valuation date, both static and behavioral scores can shift even before any migration response is added.

PolicyEngine's scoring framework

The calculator is easier to understand when broken into two stages rather than treated as one combined fiscal estimate.

The first stage defines the taxable wealth base and applies the statutory tax rules to that base. This yields a one-time wealth tax score.

The second stage optionally adds future California personal income tax losses. That stage requires extra judgments that are not needed for the wealth tax score alone: which departures are legally effective, which departures occur early enough to matter for the one-time tax, and what share of observed or modeled migration should be attributed to the tax itself.

Wealth base options

The model supports three wealth bases.

The first is the raw Forbes California list. This best approximates the Berkeley static framing. It intentionally keeps the public Forbes classification even when later evidence suggests some names are not California residents.

The second is an alternative base that follows the Rauh or Jaros treatment of contested residency cases. Here the model removes names that the Rauh or Jaros work identifies as outside the California resident base and adds David Sacks, who is omitted from the Forbes California list used in the paper. Whether these classifications reflect legally effective changes in domicile is contested; Galle et al. (2026) argue that California's totality-of-ties standard makes most of these reclassifications unlikely to hold. This should be read as a scenario assumption, not an adjudicated statement of legal residency.

The third is the alternative base after announced departures. This retains the contested-residency pool above but also removes names that Rauh and Jaros treat as having left California before the January 1, 2026 residency cutoff. In the paper-date replication, this means six announced departures. In the live calculator, the same structure is applied to the latest stored Forbes snapshot using the same metadata overlay.

Real estate exclusion and phase-in

The calculator applies the initiative text person by person. Directly held real estate is excluded before the phase-in is computed. For billionaires whose holdings are known in the Rauh dataset, the model uses those name-level values. For missing cases, it imputes directly held real estate at 0.64 percent of net worth, following the median-share approach described by Rauh et al. (Rauh et al. 2026).

This matters because the initiative does not simply impose a flat 5 percent on all reported billionaire wealth. It first excludes directly held real estate and then phases the rate in between \$1.0 billion and \$1.1 billion. A person-level application of the statutory rule therefore gives a better answer than an aggregate multiplication.

Behavioral erosion, migration, and timing

The model separates two channels that are often blurred in public debate.

The first is non-migration erosion of the wealth tax base. This is a reduced- form haircut that lowers one-time wealth tax collections but does not generate future California income tax loss.

The second is migration. Here timing matters. A clean implementation needs to distinguish at least four cases: announced pre-January 1 departures, unannounced pre-January 1 departures, post-January 1 but pre-vote departures whose effect on wealth-tax liability depends on retroactivity litigation, and later departures that can affect future California income tax without changing the one-time wealth tax. The calculator therefore treats one-time wealth-tax liability and future California income-tax mover status as separate scenario choices.

Additional modeled migration can be entered either as a direct share of the remaining base or via a migration semi-elasticity. The calculator therefore lets users compare the paper's linearized share-loss framing with an exact finite-change semi-elasticity mapping of `1 - exp(-epsilon times tau)`.

This distinction is central to interpreting the Berkeley and Hoover estimates. The Berkeley score embeds a reduced-form haircut in a static wealth tax estimate. Rauh et al. model behavioral response primarily through migration, which simultaneously lowers wealth tax collections and raises the present value of lost California income taxes.

California income tax loss

The calculator supports two income-stream methods. The wealth-yield method maps California income tax loss through PolicyEngine's California income tax model: annual California-taxable income is modeled as a share of taxed wealth, and California income tax is then estimated from a precomputed lookup at billionaire-scale incomes. The FTB aggregate method instead takes the roster's total annual California personal income tax directly — Rauh et al. estimate \$3.3 billion to \$5.8 billion per year from the relevant billionaire cohort using a Pareto-tail fit to Franchise Tax Board data (Rauh et al. 2026) — and allocates it across billionaires in proportion to net worth, so the mover loss reproduces the paper's product of the departure fraction and the aggregate income tax.

Neither method is a replication claim on its own. The wealth-yield method offers a structural income-to-tax mapping that stays consistent across scenarios, and the calculator reports the aggregate annual income tax it implies next to the Rauh range. The FTB aggregate method anchors the level to tax-return data; the Rauh-style starting point uses it at the $4.55 billion midpoint.

More importantly, any California income tax module embeds a causality assumption. Once a departure is included in the personal income tax loss calculation and assigned a positive attribution rate, the calculator attributes some future income tax loss to the tax episode. That is a much stronger claim than simply observing that a billionaire left the state. The public interface therefore presents California income tax effects as an optional second-stage analysis after the wealth tax base is defined, with explicit assumptions about mover status, timing, legal effectiveness, and causal attribution.

Discounting and payment timing

The calculator separates nominal wealth growth from the real discount rate and converts nominal growth into real growth using a 2.5 percent inflation assumption. This is more transparent than collapsing discounting and growth into a single spread, and the interface reports the implied $r - g$ alongside the Rauh paper's 1.5 percent to 4.5 percent range. When growth at or above the discount-plus-return rate makes a perpetual-horizon loss unbounded, the calculator says so explicitly rather than reporting a finite number.

The calculator also lets users compare lump-sum payment with the initiative's five-installment option. Because installments carry a 7.5 percent charge on the unpaid balance, payment timing changes the present value of receipts as well as the nominal amount collected.

Illustrative output at the draft snapshot

Using the stored Forbes snapshot for March 30, 2026, an illustrative corrected baseline uses that snapshot's Forbes data, the adjusted base after announced departures, excludes directly held real estate, and adds no extra non-migration erosion or additional modeled departures.

Under that illustrative baseline, the calculator reports:

- gross one-time wealth tax of about $70.6 billion
- if one attributes already-observed movers to the policy, annual California income tax loss of about $0.9 billion
- a net fiscal effect of about $53.8 billion under those discounting and personal income tax attribution assumptions

The named presets remain reference points rather than default claims. The Berkeley-style preset keeps the paper-date raw Forbes base, leaves real estate in the base, and applies a 10 percent non-migration haircut. The Rauh-style preset uses the contested-residency paper-date base after announced departures, excludes directly held real estate, and carries additional migration through to future California income tax losses. The calculator does not claim either preset is the correct answer. Its purpose is to show which assumptions move the result.

Valuation remains the largest open issue

The largest remaining uncertainty may be the gap between public Forbes wealth and the values that would actually be reported and defended for tax purposes. Forbes wealth is fast-moving and intentionally approximate (Forbes 2012). Tax reporting is slower, more adversarial, and shaped by different incentives. If tax-reported values are systematically lower than Forbes values, then both the Berkeley-style and PolicyEngine static scores are too high before migration is considered.

Market movement between a public snapshot and December 31, 2026 adds a second valuation risk. For fortunes concentrated in public stock, ordinary price changes can move the base materially without any legal avoidance or migration. Future versions of the calculator should separate that valuation wedge from the migration question.

Limitations and extensions

This draft has five clear limitations.

First, the calculator still uses a simplified public-data representation of California income tax exposure. It now lets users choose which named movers enter that second-stage calculation, but it does not observe each taxpayer's actual Franchise Tax Board income-tax liability.

Second, the calculator does not yet expose a direct Rauh-style Franchise Tax Board income tax range as a user-facing alternative to the PolicyEngine-derived income tax path.

Third, the model does not yet isolate a separate valuation wedge between Forbes-measured wealth and tax-reported wealth.

Fourth, the model does not attempt to forecast litigation or constitutional outcomes around the initiative's retroactive structure except through rough scenario choices.

Fifth, this paper is a methods note built around a public tool. It does not claim to settle the correct revenue score for California's proposed wealth tax. Its narrower goal is to identify the assumptions that drive the result and make them inspectable.

Conclusion

California's proposed Billionaire Tax Act should not be summarized by a single number without showing the assumptions underneath it. Reasonable choices about the billionaire base, contested residency cases, directly held real estate, migration, income tax exposure, valuation, and discounting are enough to move the estimate from a roughly $100 billion static score to a much smaller figure and, in some scenarios, to a negative net present value.

A transparent calculator is useful because it makes those choices visible. The next stage of work should focus less on replacing one opaque point estimate with another and more on improving measurement of the valuation base, the contested residency base, and the California income tax exposure of the affected cohort, while separating the one-time wealth tax score from the more speculative question of later California income tax effects.

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